

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 22-31

TPG PRESSURE, INC.,
COMPLAINANT

v.

OMNI LOGISTICS LLC, *et al.*,
RESPONDENTS.

**RESPONDENTS OMNI LOGISTICS LLC’S AND EPIC FREIGHT SOLUTIONS LLC’S
PARTIAL MOTION TO DISMISS FIRST AMENDED VERIFIED COMPLAINT FOR
FAILURE TO STATE A CLAIM UPON WHICH RELIEF CAN BE GRANTED**

Respondent Omni Logistics, LLC (“Omni”) and Respondent Epic Freight Solutions LLC (“Epic”) (collectively, “Respondents”) respectfully move the Federal Maritime Commission (the “Commission”) for an Order dismissing Count II and Count III of the First Amended Verified Complaint (“Amended Complaint”) of Complainant TPG Pressure, Inc. (“Complainant”) to the extent those counts relate to invoices issued *after* June 16, 2022 (the vast majority of which do), on the basis that 46 U.S.C. §§ 41104(a)(14), 41104(a)(15), and 41104(d) do not apply retroactively to invoices issued prior to the effective date of the Ocean Shipping Reform Act of 2022, 46 U.S.C. § 41104 (“OSRA-22”). A memorandum in support of this Motion is attached hereto.

MEMORANDUM IN SUPPORT

I. INTRODUCTION

Complainant's efforts to allege violations of Section 41104 based on conduct that predated the enactment of OSRA-22 are futile as a matter of law. OSRA-22 was signed into law on June 16, 2022 and contains no retroactivity provisions. Specifically, OSRA-22 contains nothing to suggest or support retroactive application of the invoicing requirements found at Section 41104(a)(14)-(15) or the prohibition on collection of certain invoiced charges at Section 41104(d)¹. Yet, with the exception of just a few invoices, the Complainant alleges that invoices predating enactment of the statute should be found to violate OSRA-22 because they allegedly lack certain information that OSRA-22 now requires to appear on invoices for detention and demurrage. Therefore, because the well-recognized presumption against retroactivity applies, the Amended Complaint fails to state a claim under OSRA-22 for Respondents' invoices issued before June 16, 2022. Indeed, this tribunal itself held in the February 24, 2023 Order on Motion to Amend Complaint and Motion to Dismiss ("Order"), "[s]ections 41102(d), 41104(a)(14), and 41104(a)(15) were created by OSRA and **may only apply to invoices issued after June 16, 2022.**" (Order, p. 4) (emphasis added).

II. BACKGROUND & RELEVANT FACTS

Complainant filed its original Verified Complaint Pursuant to 46 U.S.C. § 41301(a) ("Complaint") on November 29, 2022 against Omni. (Doc. No. 1.) On January 24, 2023, Omni moved to dismiss the Complaint for lack of subject matter jurisdiction and failure to state a claim. (Doc. No. 9.) Complainant filed a motion for leave to amend the Amended Complaint on February 9, 2023, seeking to amend its Complaint to add Epic as a defendant along with new factual

¹ The Amended Complaint errantly alleges that 46 U.S.C. § 41102(d) contains the provisions requiring invoices to contain certain data points.

allegations. (Doc. No. 12.) The Commission granted Complainant’s request for leave to amend and denied Omni’s motion to dismiss as moot on February 23, 2023. (Doc. No. 15.) The Commission’s Order, however, held that “[s]ections 41102(d), 41104(a)(14), and 41104(a)(15) were created by OSRA and **may only apply to invoices issued after June 16, 2022.**” (Order, p. 4) (emphasis added).

Complainant’s Amended Complaint alleges, among other things, violations of 46 U.S.C. § 41104(a)(14) (Count II) and 46 U.S.C. § 41104(a)(15) (Count III), asserting that Respondents’ invoicing practices do not comply with those statutes. Complainant indicates that it began receiving the invoices on which Counts II and III are based in November 2021. (Amended Complaint, ¶ 21.) Complainant alleges that the charges contained in the invoices related not only to demurrage, but also to “other additional charges”. (*Id.* ¶ 30.) Of the 245 invoices Complainant alleges contained unlawful charges, 232 of them were issued prior to June 16, 2022. (Declaration of David Ikemoto (“Ikemoto Dec.”) attached hereto as **Exhibit A**, ¶ 14; Exhibit 2 to Ikemoto Dec.)

III. LAW & ARGUMENT

A. The Commission’s Rule 12 standard.

Rule 12 of the Commission’s Rules of Practice and Procedure states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission’s Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12.

To survive a motion to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable

inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, 556 U.S. 662, 677 (2009). The complaint must be sufficient to “give the defendant fair notice of what the . . . claim is and the grounds upon which it rests.” *Bell Atlantic*, 550 U.S. at 555 (quoting *Conley v. Gibson*, 355 U.S. 41, 47 (1957)); *see also* 5 Charles Alan Wright & Arthur R. Miller, Federal Practice & Procedure Civ. § 1215 (3d ed. 2010) (“[T]he test of a complaint’s sufficiency simply is whether the document’s allegations are detailed and informative enough to enable the defendant to respond.”); *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, FMC No. 09-01, Order at 19-20 (FMC Aug. 1, 2011) (Order Denying Appeal, etc.).

Consideration of materials outside the complaint is not foreclosed on a 12(b)(6) motion. *See San Leandro Emergency Med. Group Profit Sharing Plan v. Philip Morris Cos.*, 75 F.3d 801, 808–09 (2d Cir.1996) (permissible to consider full text of documents partially quoted in complaint); *Int’l Audiotext Network, Inc. v. Am. Tel. & Tel. Co.*, 62 F.3d 69, 72 (2d Cir.1995) (contract between parties “integral” to complaint alleging breach and may be considered on a motion to dismiss); *Cortec Indus., Inc. v. Sum Holding L.P.*, 949 F.2d 42, 47–48 (2d Cir.1991) (permissible to consider documents relied upon by plaintiff in drafting the complaint and integral to the complaint).

B. The Commission should dismiss Counts II and III because they allege violations of provisions of 46 U.S.C. § 41104 that were not in effect during the relevant times.

Counts II and III allege that Respondents’ conduct violates 46 U.S.C. § 41104(a)(14) and 46 U.S.C. § 41104(a)(15), respectively. However, 46 U.S.C. §§ 41104(a)(14)-(15) and 41104(d) were only signed into law on June 16, 2022 as part of OSRA-22, so the vast majority of invoices, which were issued before that date, are not governed by the recently enacted amendments to the Shipping Act. (*See* Ikemoto Dec., ¶ 14).

OSRA-22 contains no retroactivity provision. Thus, the well-established presumption against statutory retroactivity applies. *See, e.g., United States ex rel. May v. Purdue Pharma L.P.*, 737 F.3d 908, 915 (4th Cir. 2013) (“[T]he principle that the legal effect of conduct should ordinarily be assessed under the law that existed when the conduct took place has timeless and universal appeal”); *see also Frontier-Kemper Constructors, Inc. v. Dir., Office of Workers’ Comp. Programs*, 876 F.3d 683, 688 (4th Cir. 2017) (“[r]etroactivity is not favored in the law”). A statute generally cannot “attach[] new legal consequences to events completed before its enactment,” for example by “impair[ing] rights a party possessed when [it] acted, increase[ing] a party’s liability for past conduct, or innpos[ing] new duties with respect to transactions already completed.” *Landgraf v. USI Film Products*, 511 U.S. 244, 114 S.Ct. 1483, 128 L.Ed.2d 229 (1994).

Complainant would have the Commission do just that – “impose[] new duties [on Respondents] with respect to transactions already completed.” The Commission should decline to do so. The provisions of OSRA-22 pertaining to invoicing requirements and collection of certain invoices do not apply to Respondents’ invoices issued prior to the enactment of OSRA-22. Here, Complainant alleges that “[i]n or about November 2021, invoices issued to TPG began including demurrage[.]” (Amended Complaint, ¶ 21.) However, a mere 13 invoices of the 245 invoices identified in the Amended Complaint’s Exhibit C², were issued *after* June 16, 2022, the effective date of OSRA-22.³ (*See* Ikemoto Dec., ¶ 14; Exhibit 2 to Ikemoto Dec.) Thus, the Commission should dismiss Counts II and III of the Amended Complaint with respect to the 232 of 245 invoices that were issued to Complainant after the effective date of OSRA-22.

² The Amended Complaint errantly indicates that the invoices are attached as “Exhibit B.” (Amended Complaint, ¶ 22.) The list of allegedly unlawful invoices is actually contained in the Amended Complaint’s “Exhibit C.”

³ Complainant merely identified the allegedly unlawful invoices by a unique invoice number, with no other attributions. Respondents have provided the dates on which those invoices were issued. (*See* Exhibit 2 to Ikemoto Dec.) The Commission can properly consider this information. *See, e.g., Sum Holding L.P.*, 949 F.2d at 47–48 (permissible to consider documents relied upon by plaintiff in drafting the complaint and integral to the complaint).

Finally, the invoices issued to Complainant did not contain charges exclusively for detention and demurrage. (*See* Ikemoto Dec., ¶ 15.) Complainant acknowledges as much in the Amended Complaint. (*See* Amended Complaint, ¶ 30.) (describing invoices paid “for demurrage and other additional charges”). Indeed, Omni has invoiced Complainant for a variety of services as well as various out-of-pocket charges. (*See* Ikemoto Dec., ¶ 16.) As detention and demurrage charges are the only charges governed by the statute, Counts II and III are meritless to the extent they seek reparations for charges unrelated to detention and demurrage. Therefore, the Commission must dismiss Complainant’s claims for damages based on charges for services other than detention and demurrage.

IV. CONCLUSION

Because 46 U.S.C. §§ 41104(d), 41104(a)(14), and 41104(a)(15) do not apply retroactively to invoices issued prior to June 16, 2022, the Commission should dismiss Counts II and III as they pertain to the 232 invoices that Complainant alleges were issued prior to that date. The well-recognized presumption against retroactivity applies, and Complainant can do nothing to rebut it.

Respectfully submitted,

**BENESCH, FRIEDLANDER,
COPLAN & ARONOFF LLP**

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 24th day of March, 2023, a true and correct copy of the foregoing was served via electronic mail on:

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/s/ Marc S. Blubaugh
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